

Intermediate Track: Portfolio Management

2.1 Portfolio Diversification

Diversification means spreading investment capital across a range of different assets rather than concentrating it in a single security. Holding a mix of investments limits the damage caused when any one of them performs poorly.

A member building a portfolio on the NSE can diversify by holding shares in more than one counter, combining holdings from different industries, and mixing shares with other instruments like government bonds. Diversification reduces exposure to problems specific to a single company, though some risks affect the whole market at once.

2.2 Reading Financial Statements

Before buying a share, an investor benefits from examining the company's formal financial reports.

- **The Income Statement:** Reports revenue, expenses, and resulting profit or loss over a specific period.
- **The Balance Sheet:** Presents a snapshot of what a company owns (assets) and owes (liabilities) at a single point in time, revealing the shareholders' equity.
- **The Cash Flow Statement:** Tracks the actual movement of cash in and out of the business across operating, investing, and financing activities.
- **The Statement of Changes in Equity:** Explains the movements in shareholders' equity over a period, showing how retained profits and dividends have altered the value.

2.3 The Price-to-Earnings Ratio

The Price-to-Earnings (P/E) ratio measures a company's share price relative to its earnings per share (EPS). It is calculated by dividing the current market price of one share by the company's earnings per share over the past twelve months.

A high P/E ratio generally signals that investors expect strong future growth, though it can also mean a share has become expensive. A low P/E ratio can indicate a share is undervalued, or it

can reflect genuine business risk. The ratio proves most useful when comparing companies within the same sector.

2.4 Bull and Bear Markets

A bull market describes a sustained period of rising share prices, accompanied by widespread investor confidence. Buying activity outweighs selling activity, pushing prices upward over an extended stretch of time.

A bear market describes a sustained period of falling prices, commonly defined as a decline of around twenty percent or more from a recent peak. Selling pressure dominates, and investor confidence weakens.

2.5 Market Liquidity

Market liquidity refers to how quickly and easily an asset can be bought or sold without causing a significant change in its price. A highly liquid share can be sold almost immediately at a price close to its last traded value.

Large companies with high daily trading volume tend to be far more liquid than smaller companies. Liquidity matters because an investor who needs cash quickly may be forced to accept an unfavorable price for an illiquid holding.

Intermediate Glossary & Formulas

- **Earnings Per Share (EPS):** A company's profit divided by the number of shares outstanding.
- **Price-to-Earnings Ratio Formula:** Share Price divided by Earnings Per Share.
- **Bear Market Threshold:** A decline of about 20 percent or more from a recent peak.